

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA 49191.99 ▼ 398.21 0.80%

NASDAQ 23709.87 ▼ 0.1%

STOXX 600 610.44 ▼ 0.1%

10-YR.TREAS. (Reopening) yield 4.170%

OIL \$61.15 ▲ \$1.65

GOLD \$4,589.20 ▼ \$15.10

EURO \$1.1645

YEN 159.17

What's News

Business & Finance

◆ **Inflation remained** relatively contained at the close of 2025 despite turbulence from tariffs, giving the Fed some leeway as it weighs the threat of price pressures against a cooling labor market. **A1**

◆ **Major U.S. stock indexes** fell, with the S&P 500, Dow and Nasdaq shedding 0.2%, 0.8% and 0.1%, respectively. **B11**

◆ **Netflix is preparing** to make its bid for Warner Bros. Discovery studios and HBO Max streaming business all cash as Paramount continues to push its competing offer. **B1**

◆ **The former chief** of Neiman Marcus was tapped to steer Saks Global through its expected bankruptcy proceedings as its new chief executive. **B2**

◆ **JPMorgan Chase** reported a 7% fall in quarterly profit, a result hurt by a charge from its deal to assume Apple's credit-card program and a slip in investment banking fees. **B1**

◆ **BNY's chief executive** criticized the Trump administration's pressure on the Fed in a call that came after the bank reported record revenue for 2025. **B12**

◆ **OpenAI is expected** to air a Super Bowl ad for a second straight year, amplifying its call for users as rival artificial-intelligence companies gain ground. **B1**

◆ **Percepta, an AI company** launched by two ex-Palantir employees and owned by General Catalyst, denied Palantir claims that it violated noncompete agreements. **B4**

◆ **Delta said it expects** to boost its profit this year from ticket sales in first and business class and reported stronger operating revenue for the latest quarter. **B3**

Worldwide

◆ **Trump criticized** a group of U.S. attorneys at a White House event, calling them weak and complaining they weren't moving fast enough to prosecute his chosen targets. **A1**

◆ **At least six prosecutors** resigned from the U.S. attorney's office in Minnesota over the Trump administration's handling of the federal investigation into the killing of a woman by an ICE agent. **A3**

◆ **Trump twice told** Iranians protesting against their government that help was on the way, in a sign the U.S. may soon act against the regime. **A7**

◆ **The Supreme Court** appeared inclined to uphold state laws banning transgender women and girls from competing in female sports events. **A3**

◆ **The Trump administration** will announce Wednesday the U.S. is moving to the next step of its Gaza plan and name a committee of Palestinians to temporarily run the bombed-out enclave. **A6**

◆ **Greenland's leader said** if his people were asked to choose "here and now," they would opt to remain a Danish territory rather than join the U.S. **A6**

◆ **A Justice Department** memo asserted that the Venezuelan opposition's support for U.S. action to oust strongman Nicolás Maduro helped Trump's legal case to overthrow him. **A6**

◆ **A top House Republican** said he would move to hold Bill Clinton in contempt of Congress after the former president didn't appear to give a deposition related to an Epstein investigation. **A3**

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NATHAN HOWARD/REUTERS

Federal Reserve Chair Jerome Powell, whose testimony about building renovations was the subject of federal grand jury subpoenas sent last week, arrived at the central bank Tuesday.

In Pivot, President Rolls Out Proposals To Tackle Affordability

By RACHEL LOUISE ENSIGN AND KEN THOMAS

President Trump surprised Sen. Elizabeth Warren of Massachusetts on Monday with a phone call after she criticized him during a speech on affordability. Only days earlier, he had pitched a cap on credit-card rates that sounded like a proposal from the Democratic senator's wish list.

"I told him that Congress can pass legislation to cap credit-card rates if he will actually fight for it," Warren said. Until recently, Trump, a Re-

publican has called Democrats' focus on affordability a hoax, but the issue has since taken on urgency in his administration. The president has announced many proposals aimed at gaining more leverage over the economy and the cost of living. He has done it by upsetting Wall Street supporters and pitching ideas more closely associated with liberal Democrats.

The president's proposals *Please turn to page A2*

◆ **Trump sounds upbeat note on the economy..... A2**

White House's Moves Jolt Longtime Wall Street Allies

By GREGORY ZUCKERMAN

Wall Street thought it had an ally in Donald Trump. He's becoming more of an adversary. The president largely delivered to investors last year, as his administration cut taxes, reduced spending and rolled back an aggressive tariff plan after it spooked markets.

Now, after blindsiding Wall Street with a series of rapid-fire moves in the span of a week, President Trump appears to be putting it on notice. He has sought to block large investors from buying houses, called for a cap on credit-card rates and an-

nounced restrictions on executive pay and stock buybacks.

Then came the most stunning move of all: The Justice Department's criminal investigation of Federal Reserve Chair Jerome Powell in what he said was an intimidation tactic to lower interest rates.

"Investors thought after [the] April 2025 tariffs that uncertainty around policy would magically go away," said Brad Golding, a hedge-fund manager at Christofferson Robb & Co. in New York. "Now, we're seeing that midterm elections mean more than the profitability of banks and the stability of markets."

News of the investigation, which prompted JPMorgan Chase Chief Executive Jamie Dimon and others in the banking world to defend the Fed, was an escalation in Trump's pressure campaign on the Fed to lower rates. It was a clear message that voters' concerns about the cost of living, and not investors, are now top of mind.

On Monday evening, Trump, a Republican, issued his latest broadside against business on social media, saying he was working with Microsoft and other tech giants to make sure consumers don't "pick up the *Please turn to page A4*

Inflation Holds Steady, Giving Fed Breathing Room

By HARRIET TORRY

Inflation remained relatively contained at the close of 2025 despite turbulence from tariffs, giving the Federal Reserve some breathing room as it weighs the threat of price pressures against a cooling labor market.

Consumer prices rose 2.7% in December from a year earlier, the Labor Department said Tuesday. That was unchanged from November's pace and in line with the expectations of economists surveyed by The Wall Street Journal.

Though inflation readings

bounced around last year and remain stuck above the 2% rate that policymakers prefer, year-over-year CPI inflation cooled over the course of 2025, to 2.7% in December from 3% in January.

The consumer-price index report showed the impact of tariffs is still relatively muted. Last spring, a big fear was that President Trump's new tariffs would fuel massive price increases, but some companies have been eating the cost or raising prices only slowly. Tuesday's report also offers a measure of relief to Fed officials who lowered rates last month

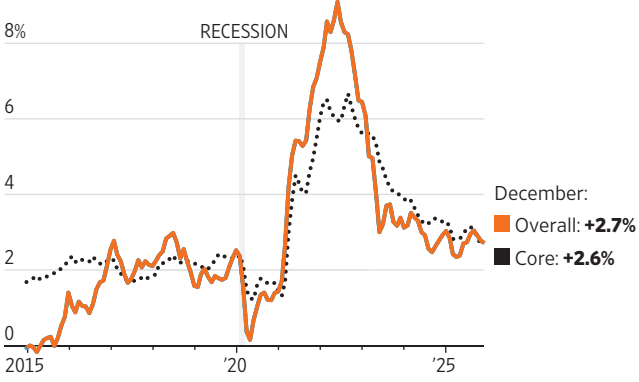
and have signaled they plan to hold them steady for now.

"In a year where there was an incredible amount of angst related to tariffs and the potential for upward pressure on that, we're finishing the year in a more benign stance than where we started," said Tom Porcelli, chief economist at Wells Fargo.

The December report "allows the Fed to start the process of shifting its focus more toward the labor part of the mandate, which is in need of some help right now," Porcelli said.

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Consumer-price index, change from a year earlier



Note: Data for October 2025 are unavailable. Core excludes food and energy prices. Source: Labor Department

A Custody Battle Over Dogs Rocks an African Nation

* * *

Malawi's current and former presidents, and their followers, have a bone to pick

By NICHOLAS BARIYO

LILONGWE, Malawi—It's no secret who let the presidential guard dogs out. The question roiling this southern African country is more existential: Are the animals personal pets, or furry policemen?

Former President Lazarus Chakwera insists the canines, trained to detect weapons, black-magic fetishes and other potential threats, are key members of his security detail.

After losing his re-election bid last year, he ordered all four guard dogs at the presidential palace in Lilongwe loaded into a police truck and delivered to his private residence, 6 miles away. (The four stationed at a second palace

in Blantyre remained.)

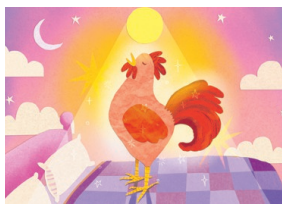
His replacement argues the dogs are, in essence, civil servants and the president should have the staff that comes with the job.

A month after taking office, President Peter Mutharika dispatched 80 policemen to Chakwera's house to retrieve the dogs. Chakwera, 70, refused to open the door, beginning a political and legal standoff.

The former president's allies in Parliament rushed to his home to prevent the dogs' removal. His lawyers rushed to court.

Mutharika, an 85-year-old lawyer who studied at Yale and taught at Washington University, delayed moving *Please turn to page A10*

INSIDE



PERSONAL JOURNAL
What time should you wake up? Here's why it's probably not 5 a.m. **A9**



SPORTS
The PGA Tour throws open its doors for LIV defectors to return. **A12**

The Bank Collapse That Shook Iran

Bad loans to cronies sank Ayandeh Bank, accelerating a financial crisis

By JARED MALSIN

The biggest harbinger that things were about to fall apart in Iran didn't come from the thwarted anger of the country's opposition or the frustrated hopes of young people hungry for personal freedom. It came from the collapse of a bank.

Late last year, Ayandeh Bank, run by regime cronies and saddled with nearly \$5 billion in losses on a pile of bad loans, went bust. The government folded the carcass into a state bank and printed a massive amount of money to paper over all the red ink. That buried the problem but didn't solve it. Instead, the failure be-

came both a symbol and an accelerant of an economic unraveling that ultimately triggered the protests that now pose the most significant threat to the regime since the founding of the Islamic Republic half a century ago.

The bank's collapse made clear that the Iranian financial system, under strain from years of sanctions, bad lending and reliance on inflationary printed money, *Please turn to page A8*

◆ **Trump tells protesters 'help is on its way'..... A7**
◆ **Tehran finds China's friendship has limits..... A7**
◆ **Iran's Gulf foes warn U.S. against a strike..... A7**